(6)

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP/CAA/21/CHE/2021
In
CA/473/CAA/2020

(Filed under Sections 230 to 232 of the Companies Act, 2013)

In the matter of *Scheme of Arrangement for Demerger*

Between

M/s. KKP TEXTILES PRIVATE LIMITED
88, SALEM ROAD,
NAMAKKAL – 637 001
TAMIL NADU

Petitioner / Demerged Company

And

M/s. DHAKSHAN TEXTILES PRIVATE LIMITED
88, SALEM ROAD,
NAMAKKAL – 637 001
TAMIL NADU

... Petitioner / Resulting Company

And

THEIR RESPECTIVE SHAREHOLDERS

Order Pronounced on ***6th April 2022***

CORAM

R. SUCHARITHA, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): V. Srinivasan, Advocate

ORDER

***Per:*R SUCHARITHA, MEMBER (JUDICIAL)**

CP(CAA)/21/CHE/2021 is a joint Company Petition filed by the Petitioner Company viz. **M/s.KKP Textiles Private Limited**

and **M/s.Dhakshan Textiles Private Limited** for the purpose of the approval of the Scheme of Arrangement, (Demerger) (hereinafter referred to as the 'SCHEME') as contemplated between the Petitioner Companies) under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also annexed at 'Annexure – 5' of the typed set filed along with the Petition.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Petitioner Company had filed its First Motion Application vide CA/473/CAA/2020 seeking directions for dispensation of the meetings of the Equity Shareholders and Secured and Unsecured Creditors of both the companies. Since the consent Affidavits submitted by the Equity Shareholder, Secured and Unsecured Creditors of the Demerged and Resulting Company were not obtained in the Non – Judicial stamp paper, this Tribunal ordered for the meeting to be convened. The Chairman appointed by this Tribunal has also submitted his report before this Tribunal and from the perusal of the said Report it is seen that an unanimous Resolution was passed approving the Scheme of

Demerger by the Equity Shareholders and the Secured / Unsecured Creditors of the Petitioner Companies.

Subsequent to the said order, the Petitioner Company has filed the present Petition before this Tribunal on 24.06.2021 for sanction of the Scheme of Arrangement by this Tribunal.

4. RATIONALE OF THE SCHEME

4.1. The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a. KTPL has two units. It has not been possible to exploit the potentiality of its Virali unit to the optimum level. In case the said Unit is demerged and transferred into a separate company, namely DTPL, the said unit, under the separate entity namely DTPL, will have a potentiality of generating good profit and expand its activities;

b. The Scheme will lead to better and more economic control and management of the Viral unit of the KTPL and enable the business of the said Unit to be carried on more conveniently and advantageously with greater focus and attention;

c. The said Scheme of Arrangement for Demerger will create enhanced value for the shareholders and to reap the benefits of synergies and also to give independent focus in core areas of the respective companies, focused strategy in operations, to obtain greater facilities, for raising capital, securing and conducting trade on favourable terms and other benefits which would

be in the interest of both the companies, their shareholders, creditors and all persons connected with them'

d. The transfer of the Virali Unit to the DTPL under the Scheme of Demerger will enable the KTPL to rationalize and streamline its management, business and finances and allow it to concentrate and focus on its remaining business;

e. The present Scheme of Arrangement for Demerger will also provide scope for strategic investments, independent collaboration and expansion of both the Companies;

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 28.07.2021 has directed the Petitioner Company to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) the Income Tax Department, and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in *"Business Standard"*, English (All India Edition) and *"Makkal Kural"* Tamil (Tamil Nadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal on 04.09.2021 and a perusal of the same discloses that the Petitioner Company has effected paper publication as directed by the Tribunal in one issue of *"Business*

Standard" (All India Edition) in English and *"Makkal Kural"* (Tamil Nadu Edition) in Tamil on 27.08.2021. It is also seen that notices have been also served to (i) The Regional Director, Southern Region (ii) Registrar of Companies Chennai (iii) Income Tax Department, Circle 5(2), Chennai. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal and has stated that Clause 4.9 of Part 4 of the Scheme provides for the protection of the interest of the employees of the Demerged Company. It was further observed in para 3 of the report of the RD as follows;

> 3. It is further submitted that as per Clause 2.3 of Part 2 of the Scheme, the Appointed Date is 01.04.2018, which is not in accordance with Section 232(6) of the Companies Act, 2013, as it is ante-dated beyond a year and the Company has not submitted any justification for the same. Hence, the Hon'ble NCLT, Chennai may direct the company to revise its appointed date or may determine an appointed date as it thinks fit.

7.2. Thus, after examining the Scheme, except the observations as extracted *supra*, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.3. In relation to the objections raised by the Regional Director, the Learned Counsel for the Petitioner has filed an Affidavit and submitted that Clause 2.3 of the Scheme clearly defines 'Appointed date' means 1st April 2018. Further Clause 2.5 defines 'Effective Date' means the date on which a certified copy of the order of NCLT sanctioning the Scheme is filed with the Registrar of Companies, Tamil Nadu, Coimbatore. Also, it was submitted that Clause 5.3, it is clearly defined under "Operative date of the Scheme" as the Scheme shall be effective with effect from the Appointed Date i.e. 1st April 2018, but shall be operative from the Effective Date.

7.4. Further, it was also submitted that the date of Appointed date is not significantly ante-dated beyond a year from the date of filing. Since CA/473/2020 was filed before this Tribunal on 30.03.2019 as Diary No. 279.

7.5. In relation to the objections raised by the Regional Director, Southern Region with respect to the Appointed Date, it is significant to point out to the clarification issued by the MCA vide its General Circular No.09/2019 on 21.08.2019, which manifest the following facts;

- The 'Appointed date' can be a specific calendar date or be tied to the occurrence of an event e.g.: grant or transfer of licenses, the fulfilment of conditions precedent, etc. (prospective date).

- If the 'Appointed date' is a calendar date, it may precede the date of applying for the Scheme before the NCLT.

- If the 'Appointed date' is predated by a year or more from the date of applying with NCLT, justification should be provided for the same in the Scheme and it should not be against the public interest.

- If 'Appointed date' is based on the occurrence of an event, the said event should be specifically identified in the Scheme upon the occurrence of which the scheme would become effective. If the event-based date is a date after the date of filing the order with the concerned RoC under Section 232(5) of the Companies Act, the concerned company shall file an intimation of the same with the RoC within 30 days of such Scheme coming into force.

- The 'Appointed date' shall also be the 'acquisition date' and date of transfer of control to confirm to Indian Accounting Standards 103.

7.6. Thus by taking into consideration the clarification issued by MCA vide its General Circular No.09/2019 on 21.08.2019 and being guided by the decision of the Madras High Court in the matter of *In re: Equitas Finance Limited & ORs. [2016] 199 CompCas 124 (Mad.),* the objections as raised by the Regional Director, Southern Region in para 3 of its report is not sustainable.

7.7. **OTHER STATUTORY AUTHORITIES**

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory Department viz. The Income Tax Department, does not have any objection to the sanction of the Scheme.

8. **VALUATION REPORT**

8.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one K.V. Sathish kumar, Chartered Accountant dated 28.02.2019, wherein it has been recommended by the as follows;

- 16 (Sixteen) Equity Shares of Rs.10/- each in DTPL for every 100 Equity Share of Rs.10/- each or 1000 Equity Shares of Re.1/- each held by the

Shareholders in KTPL as consideration for demerger of Virali Unit of KTPL and transferring / vesting / merging of the same into DTPL.

9. ACCOUNTING TREATMENT

9.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of each of the Petitioner Companies are placed at pages 177 to the typed set filed along with the petition.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the

Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "5" along with CP(CAA)/21/CHE/2021.

10.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty,

taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(iii) That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

(iv) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

(v) That all proceedings now pending by or against the Demerged undertaking shall be continued by or against the Resulting Company; and

(vi) That all the services of all the employees of the Demerged Company employed in the Demerged undertaking shall stand transferred to the Resulting

Company on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of service as a result of the transfer; and

(vii) That the Resulting Company do without further application allot to such members of the Demerged Company, as have not given such notice of dissent, as is required by Clause 3.18 of the SCHEME herein the shares in the Resulting Company to which they are entitled under the said SCHEME.

(ix) That the Resulting Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Resulting Company after setting off the fees paid by the Transferor Company.

(x) That the Appointed date for the Scheme is 1st April 2018 is as mentioned in Clause 2.3 of the Scheme.

(xi) That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

(xii) That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-Sd-
SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-
R. SUCHARITHA
MEMBER (JUDICIAL)

Raymond